Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA-20260812-00002
Company	Highland Agro Resources Bhd
Registration No.	200903099887
Loan Amount Requested	RM 12,000,000
Loan Purpose	Expansion
Tenure	60 months
Pipeline Status	Manual Review
Preliminary Decision	MANUAL REVIEW
Report Generated	2026-08-12 18:09 UTC

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1. Application Overview

Application No.	CLA-20260812-00002
Loan Amount	RM 12,000,000
Loan Purpose	Expansion
Tenure	60 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	Manual Review
Final Decision	MANUAL REVIEW
Assigned Officer	Not assigned
Decision Reason	Exposure exceeds single-borrower threshold; escalated to credit committee.

2. Company Profile

Company Name	Highland Agro Resources Bhd
Registration Number	200903099887
Tax ID	—
GST Number	—
Company Type	Public Limited
Industry	Agriculture
Incorporation Date	2009-03-09
Country	Malaysia
Registered Address	PT 445, Jalan Ladang Highland
City / State	Ipoh, Perak
Contact Email	corp@highlandagro.com.my
Contact Phone	+6052551900
Annual Turnover	RM 88,900,000
Employees	1200

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status
1	Balance Sheet	highland_fs_2025.pdf	2025	2.8	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	RM 5,228,834	**Cost of Revenue**	RM 68,453,000
EBIT	RM 9,779,000	**Short-term Debt**	—
EBITDA	—	**Accounts Payable**	RM 7,708,355
Shareholders' Equity	RM 73,036,684	**Interest Expense**	RM 1,088,136
Revenue / Turnover	RM 88,900,000	**Operating Profit**	RM 9,779,000
Inventory	RM 7,130,229	**Total Liabilities**	RM 29,198,316
Net Worth	—	**Accounts Receivable**	RM 9,982,320
Net Profit / PAT	RM 6,605,057	**Current Liabilities**	RM 16,059,074
Tax Expense	RM 2,085,807	**Financing Cash Flow**	RM 1,523,390
Gross Profit	RM 20,447,000	**Investing Cash Flow**	RM 5,334,000
Total Assets	RM 102,235,000	**Operating Cash Flow**	RM 9,716,557
Current Assets	RM 23,767,429	**Depreciation & Amortisation**	RM 3,111,500
Long-term Debt	—		

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5. Financial Ratios Analysis

Overall Financial Health: GOOD

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.2856	x	Very Low	0.3 – 0.6	Excellent: Debt Ratio of 0.29x shows that only 28.6% of assets are financed by debt.
Quick Ratio	1.036	x	Low	1 – 2	Healthy: Quick Ratio of 1.04x. Liquid assets adequately cover current liabilities witho...
Current Ratio	1.48	x	Medium	1.5 – 3	Acceptable: Current Ratio of 1.48x meets minimum requirements but leaves limited buffer...
Ebitda Margin	14.50%	%	Medium	12 – 30	Moderate: EBITDA Margin of 14.50%. Acceptable for most industries.
Asset Turnover	0.8696	x	Low	0.5 – 1.5	Good: Asset Turnover of 0.87x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.6051	x	Medium	0.5 – 1	Moderate: Cash Flow Ratio of 0.61x provides some coverage.
Working Capital	7,708,355	■	Low	—	Positive: Working Capital of ■7,708,355 provides a buffer for short-term operations.
Operating Margin	11.00%	%	Low	10 – 25	Good: Operating Margin of 11.00%. Healthy operating efficiency.
Return On Assets	6.46%	%	Low	5 – 15	Good: ROA of 6.46%. Assets employed efficiently.
Return On Equity	9.04%	%	Medium	10 – 25	Moderate: ROE of 9.04%. Marginal shareholder returns.
Debt Equity Ratio	0.3998	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.40x reflects conservative financing with equity domin...
Net Profit Margin	7.43%	%	Medium	5 – 20	Moderate: Net Profit Margin of 7.43%. Adequate for lending consideration with close mon...
Financial Leverage	1.3998	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.40x. Conservative use of debt financing.
Inventory Turnover	9.6004	x	Low	4 – 12	Good: Inventory Turnover of 9.60x. Efficient inventory management.
Current Asset Ratio	0.2325	x	Medium	0.3 – 0.6	Moderate: Current Asset Ratio of 0.23x is typical for asset-heavy industries.
Gross Profit Margin	23.00%	%	Medium	20 – 60	Moderate: Gross Profit Margin of 23.00%. Acceptable for trade/distribution businesses.
Receivable Turnover	8.9057	x	Low	6 – 15	Good: Receivable Turnover of 8.91x. Efficient debtor collection.
Interest Coverage Ratio	8.9869	x	Very Low	2.5 – 5	Excellent: ICR of 8.99x. Strong earnings coverage for interest payments.
Operating Cash Flow Ratio	10.93%	%	Low	10 – 25	Good: Operating Cash Flow Ratio of 10.93%. Healthy cash conversion.
Debt Service Coverage Ratio	4.9648	x	Very Low	1.25 – 2	Excellent: DSCR of 4.96x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: PASS	Rules Evaluated: **11**	Rules Triggered: **0**	ML Pipeline: **Will Run**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	1.48	1	Yes	**PASS**	Reject
20	**Quick Ratio Floor**	Liquidity	1.036	0.5	Yes	**PASS**	Reject
30	**Maximum Debt-Equity Ratio**	Leverage	0.3998	2.5	Yes	**PASS**	Reject
40	**Maximum Debt Ratio**	Leverage	0.2856	0.8	No	**PASS**	Manual Review
50	**Positive Return on Assets**	Profitability	6.46	—	Yes	**PASS**	Reject
60	**Minimum Return on Equity**	Profitability	9.04	5	No	**PASS**	Manual Review
70	**Positive Net Profit Margin**	Profitability	7.43	—	Yes	**PASS**	Reject
80	**Minimum Interest Coverage Ratio**	Coverage	8.9869	1.5	Yes	**PASS**	Reject
90	**Minimum Debt Service Coverage Ratio**	Coverage	4.9648	1.2	Yes	**PASS**	Reject
100	**Positive Operating Cash Flow**	Cash_Flow	10.93	—	Yes	**PASS**	Reject
110	**Positive Net Worth**	Solvency	1.3998	10	Yes	**PASS**	Reject

7. ML Prediction & Risk Assessment

Model Used	Random Forest
Probability of Default	14.11%
Composite Risk Score	9.9 / 100
Risk Level	VERY LOW
Prediction Outcome	Low Risk

Risk Score Bar: [■■■■■■■■■■■■■■■■■■■■■■] 9.9%

Top Predictive Factors (SHAP Analysis):

Feature	SHAP Value	Direction
Borrowing dependency	-0.0862	↓ **Reduces Risk**
Debt ratio %	+0.0413	↑ **Increases Risk**
Degree of Financial Leverage (DFL)	+0.0398	↑ **Increases Risk**
Persistent EPS in the Last Four Seasons	-0.0384	↓ **Reduces Risk**
Non-industry income and expenditure/revenue	-0.0298	↓ **Reduces Risk**

Retained Earnings to Total Assets	-0.0297	↓ Reduces Risk
ROA(C) before interest and depreciation be...	-0.0272	↓ Reduces Risk
Interest Expense Ratio	-0.0243	↓ Reduces Risk
Net Income to Stockholder's Equity	-0.0191	↓ Reduces Risk
Current Liabilities/Equity	-0.0190	↓ Reduces Risk
Working Capital to Total Assets	-0.0173	↓ Reduces Risk
Equity to Liability	-0.0162	↓ Reduces Risk

Model Explanation:

The Random Forest model assigns a low probability of default (14.1%), suggesting acceptable credit risk. Key factors increasing default risk: 'Debt ratio %', 'Degree of Financial Leverage (DFL)'. Mitigating factors reducing default risk: 'Borrowing dependency', 'Persistent EPS in the Last Four Seasons', 'Non-industry income and expenditure/revenue'.

Model Comparison (Training Evaluation):

Model	Accuracy	Precision	Recall	F1	ROC-AUC	CV ROC-AUC
Xgboost	0.952	0.362	0.659	0.468	0.937	0.997 ± 0.001
Random Forest	0.944	0.323	0.682	0.438	0.949	0.996 ± 0.001
Logistic Regression	0.886	0.200	0.841	0.323	0.934	0.951 ± 0.004

8. Credit Recommendation

RECOMMENDATION: APPROVE — The composite risk score of 9.9/100 is in the 'Very Low' range. The Random Forest model estimates a 14.1% probability of default. This application represents a low-risk lending opportunity.

9. Officer Notes

No officer notes recorded at the time of report generation.

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